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BUYERS ARE GETTING ATTRACTED TO HIGH-END FEATURES, SUPERIOR PERFORMANCE WITH INSTANT TORQUE AND ADVANCED TECHNOLOGY



THE SYMBOLS of wealth are evolving.

Where once a throaty V8 or a chauffeur-driven limousine marked status, today, it's the quiet hum of an electric motor.

Luxury in cars is no longer measured by speed and leather upholstery but sustainability, design, and the promise of a better future.

The luxury electric vehicle (EV) segment grew 11% in the first half of CY2025 as against just 6% in the same period last year. At the heart of this exorbitant surge are Gen Z and millennial buyers. "The luxury electric segment in India is seeing strong interest from young, successful people. They are environmentally conscious and looking to connect with a brand committed to sustainability," says Hardeep Singh Brar, President, BMW India.

Around 65% of BMW and MINI EV customers are below 45 years. In the case of BMW iX1 Long Wheelbase, the average age of the customer is even lower (33% are below 39). In August, BMW India became the first luxury carmaker to sell 5,000 electric cars.

The rise of young entrepreneurs and a strong economy are also driving the luxury electric car market, says Balbir Singh Dhillon, Head of Audi India. "These buyers are not only younger but also more digitally connected. They actively engage with online research, use configuration tools extensively and show a strong interest in home charging solutions, reflecting a tech-savvy and forward-looking mindset compared to traditional buyers of luxury cars," says Dhillon. At Audi India, the average age of EV buyers is 46. At present, Audi has four electric car models in India—RS e-tron GT, e-tron GT, Q8 e-tron Sportback and Q8 e-tron. The company plans to expand its EV portfolio by 50% till 2030.

For market leader Mercedes-Benz, which commands more than 41% of the luxury car market, the customer profile has evolved due to newer requirements, popular culture and global trends. "Our EV customers are highly influenced by eco-consciousness," says Santosh Iyer, Managing Director and CEO, Mercedes-Benz India. In CY24, the German automaker sold 952 luxury EVs as against 516 units in the same period last year, as per data from Vahan Dashboard.

"We are also getting customers who view luxury through the lens of hyper-personalisation, not just in colours and trim, but the entire digital ecosystem. The artificial intelligence that learns from the car appeals to a generation that expects their luxury vehicle to be as smart and personalised as their smartphone," says Iyer. The carmaker has electric models in India.